Camtek Ltd.

CAMT | NASDAQ | 2026-10-11

Q4 2027 model ceiling: USD 125.34

Analytical Base 42/60 = 70 | Semiconductor inspection and metrology

20x fully expensed F4Q operating profit, selecting the lower matched cash-redemption or fully converted2030note equity case separately for each valuation window

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 152.81 per share (2026-10-09 16:00 America/New_York regular close); 46.668 million common shares (2026-06-30); estimated equity capitalization USD 7,131.4 million. June common shares from Q2 balance sheet; October9 NASDAQ price from StockAnalysis, dates deliberately separate This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 16:00 America/New_York regular close price of USD 152.81, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	295.6	20x	52.030	125.34

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated Camtek with mutually exclusive application pools. Compensation, ordinary depreciation, amortization and development costs remain expenses. Matched convertible financing cases avoid deducting the principal and conversion shares together; finance leases are a separate financial claim.. 20x fully expensed F4Q operating profit, selecting the lower matched cash-redemption or fully converted2030note equity case separately for each valuation window

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Thesis

Camtek inspects and measures semiconductor wafers and advanced packages. Its customers pay to find defects before they accumulate more processing cost or reach final assembly. More complex packages, denser bumps, extra bonded layers and narrower tolerances can create additional inspection steps. The relevant economics are accepted tools, application software, service and qualified process recipes, rather than a fixed percentage of every dollar spent on AI infrastructure.

The model uses 20x fully expensed forward-four-quarter operating profit. Its matched fully converted financing case produces a Q4 2027 ceiling of $125.34 against the October 9 NASDAQ close of $152.81. That is a strong operating growth case without positive modeled upside at this valuation. The model does not import an analyst price target or raise the multiple to reverse that conclusion.

Orders and acceptance

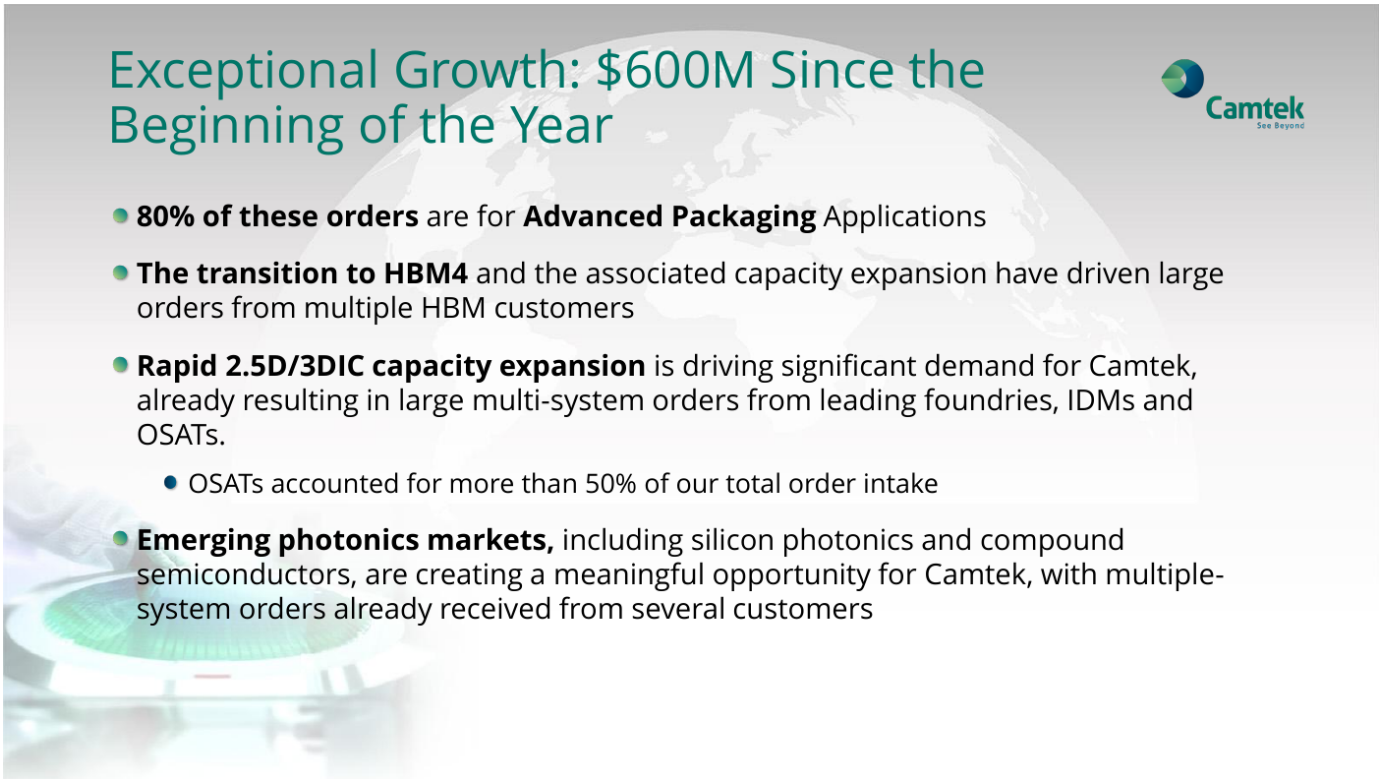
The latest reported quarter ended June 30 and was released August 10. Revenue was $133.243 million, gross profit $66.702 million and operating profit $27.227 million. R&D was $16.684 million and selling/administration $22.791 million. Q1 revenue was $121.659 million and operating profit $27.266 million. Revenue rose while operating profit was nearly flat, demonstrating the cost of product development and organizational expansion.

Q2 non-GAAP operating profit was $36.028 million, including $4.873 million of stock compensation and $3.928 million of acquisition-related adjustments that are not simply free cash. The model retains compensation, ordinary acquired-intangible amortization and recurring engineering costs. The $7.7 million one-time tax expense and financial income are below operating profit and do not require an operating adjustment.

Management reported more than $600 million of orders since the start of 2026, scheduled for delivery through the remainder of 2026 and into 2027. About 80% of those orders concerned advanced packaging, while OSATs represented more than half of total order intake. These are overlapping classifications, not two additive opportunities.

The previously announced $105 million multi-system order from a tier-one OSAT and HBM producer is a subset of the later order total. The HBM component exceeded $50 million and was expected to ship in 2027. It is not added to the $600 million again. The model also does not confuse bookings with immediate shipment, customer acceptance or cash collection.

Q3 revenue guidance was $158-160 million. The model uses the $159 million midpoint and a $175 million Q4 estimate, producing $334 million of second-half revenue, more than 30% above H1's $254.902 million. Q4 is an analytical allocation consistent with the half-year outlook, not a company-issued quarterly number. Management's expected approximately 70% rise in AP revenue from Q1 to Q4 is another scope-specific check, not a forecast for every application.



Camtek August2026 issuer materials; PDF page7 | Order composition and customer/technology drivers; orders are not recognized revenue.

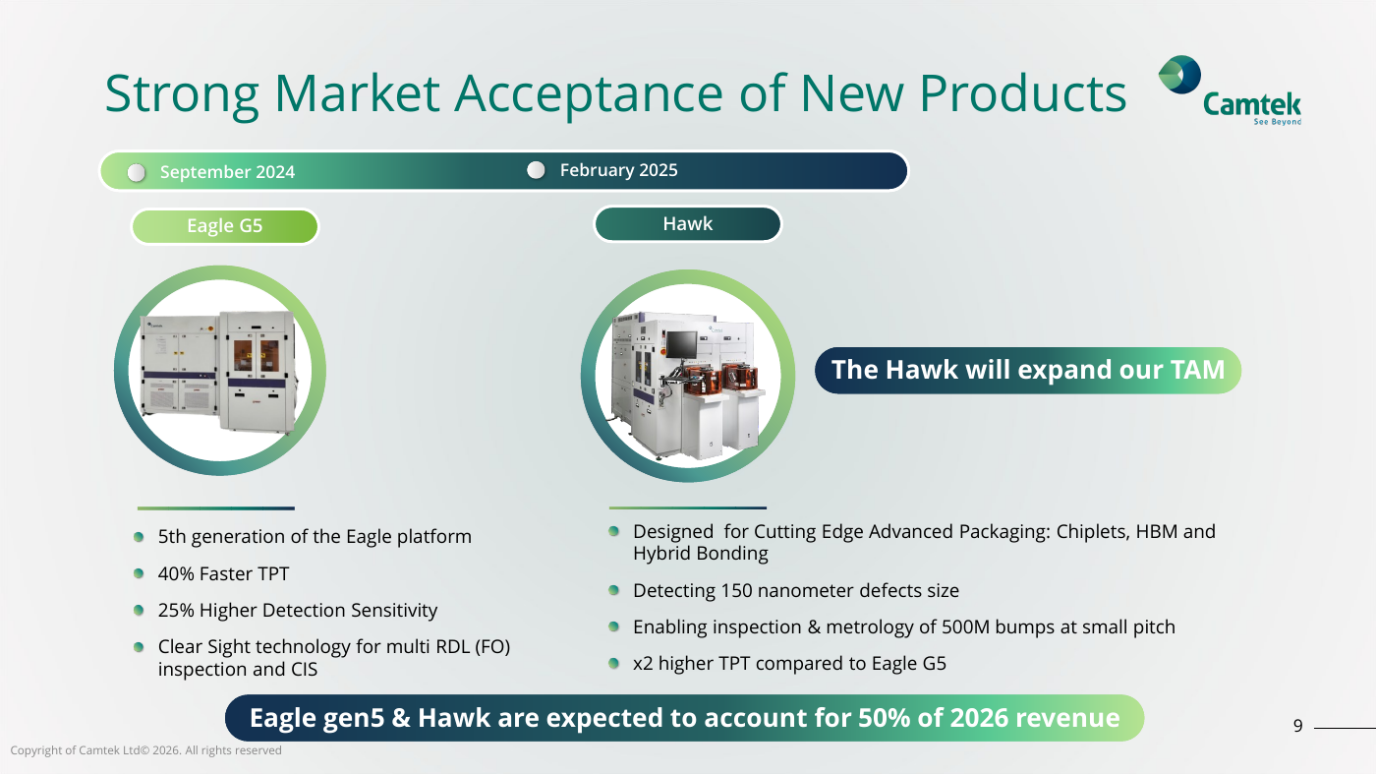
The process problem

A high-value package is vulnerable to failures at each bonding and interconnect step. Inspection that detects surface defects, bump coplanarity, height errors or poor alignment before expensive integration can save much more than the inspection tool's incremental cost. Qualified recipes, false-alarm control, measurement repeatability and integration with production systems create barriers to an easy supplier change.

Camtek's August material describes Eagle G5 as approximately 40% faster with improved sensitivity, and Hawk as offering roughly twice G5 throughput for demanding applications. The stated Hawk capability includes inspecting up to 500 million bumps per wafer and detecting defects around 150 nm. These are issuer comparisons, not independent guarantees across every customer recipe.

Faster equipment is both an advantage and a counterweight to unit growth. A customer can process more wafers with fewer tools. The model therefore does not multiply wafer growth, inspection-step growth and throughput gains as separate revenue accelerators. New steps, better pricing, additional applications and service must outweigh that productivity offset.

Visual Layer adds image-analysis technology and personnel. New configurations include backside inspection and fluorescence illumination; NanoProf adds metrology applications. Integration, application engineering and software development consume cash and expenses before they necessarily generate incremental revenue. The company's claim of more than $2 billion of addressable market in 2027 is a management estimate and is not directly translated into Camtek sales.



Camtek August2026 issuer materials; PDF page8 | Issuer G5 and Hawk specifications; performance varies with application.

Three revenue pools, one invoice

The August mix presentation assigns approximately 55% of revenue to AI/HPC advanced packaging, 20% to other advanced packaging and 25% to other applications, including general 2D inspection, photonics, power devices, image sensors and front-end applications. The first two together make the 75% AP share. Silicon photonics is not modeled as an additional revenue segment on top of these already exhaustive categories.

The 2027 reference contains $450 million AI/HPC AP, $140 million other AP and $145 million other applications, totaling $735 million. The corresponding 2028 inputs are $600 million, $160 million and $160 million, totaling $920 million. Reference revenue becomes $1.095 billion in 2029 and $1.275 billion in 2030. These are analyst forecasts, not management guidance or confirmed backlog.

The reference already assumes conversion of known orders, substantial AP expansion and stronger product mix. To keep the volume bridge auditable without inventing undisclosed shipment counts, the model expresses the AI/AP pool in $1.5 million revenue-equivalent invoices. This is a proxy for volume times value, not a claim that every Camtek tool costs $1.5 million. Actual tool/configuration mix and acceptance schedules remain evidence gaps.



Camtek August2026 issuer materials; PDF page6 | Issuer mix:55%AI/HPC and20%other advanced packaging are components of75%AP, not extra segments.

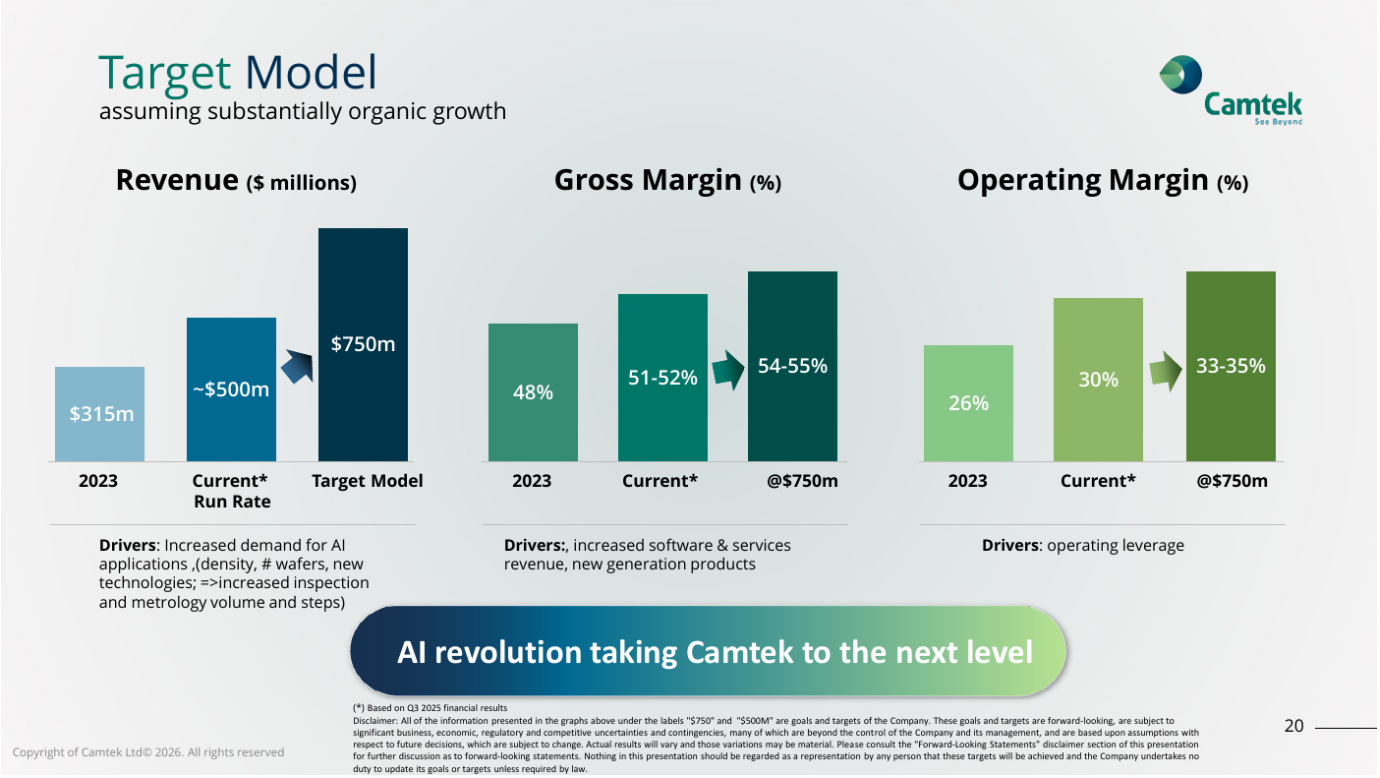
Fully expensed profitability

The 2027 gross-margin assumptions are 56% for AI/HPC AP, 51% for other AP and 47% for other applications. AI/AP margin improves half a percentage point annually and other AP improves 0.3 points. These segment margins are analytical allocations; Camtek does not disclose them in this form.

Reference operating expense is $165 million in 2027, $190 million in 2028, $220 million in 2029 and $250 million in 2030. R&D receives 46% of the pool and selling, administration and acquired-intangible amortization 54%. Ordinary depreciation and stock compensation remain included. Depreciation and compensation memo lines are not added back to operating profit.

Management's illustrated $750 million target model uses 54-55% gross margin and 33-35% operating margin on a non-GAAP basis. The active 2027 revenue is about $752 million, but its fully expensed operating margin is about 31%. That difference is deliberate. Scaling the non-GAAP goal without charging compensation, integration and engineering would overstate common-shareholder economics.

The August deck contains some stale labels and minor financial inconsistencies. Its annual operating-profit figure and percentage do not always match the latest earnings statement. This review uses the latest Q2 statement's 2025 operating profit of $128.203 million and the latest June common-share count, rather than silently mixing presentation conventions.



Camtek August2026 issuer materials; PDF page19 | Issuer$750m target model uses non-GAAP metrics; proposed model retains ordinary costs and SBC.

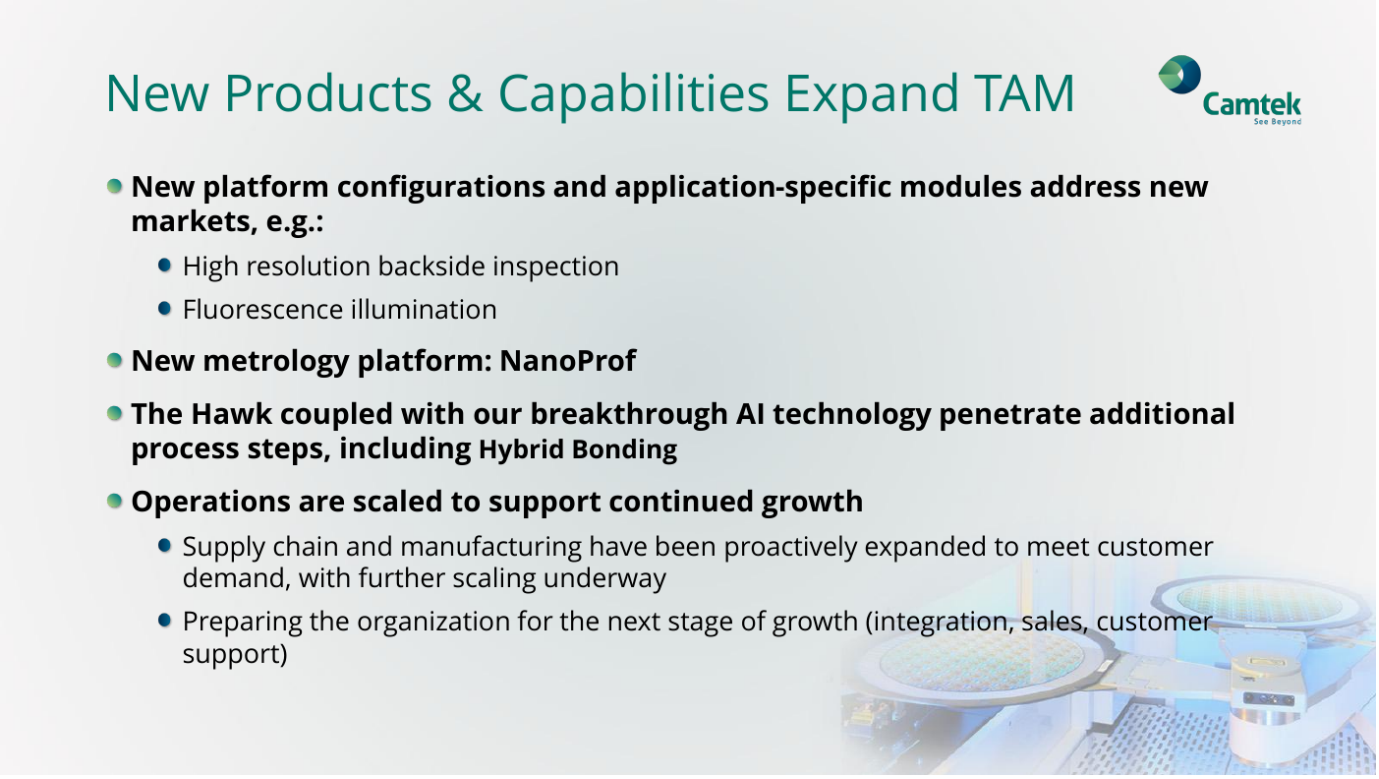
What the incremental branches buy

The additional-qualified-steps branch has 45% probability. It starts from bounded gross application opportunities of $120 million, $200 million, $240 million and $280 million in 2027-30, then removes 50% for overlap with the already-growing reference. The surviving conditional revenue is $60 million, $100 million, $120 million and $140 million. It earns 55% gross contribution while requiring 14% incremental R&D, support and selling expense, leaving 41% incremental operating profit. This is a bounded proxy for new accepted configurations and inspection steps; it is not a claim that these amounts are separately booked.

The pricing branch carries 35% probability and applies a 5% premium to 20% of AP revenue from eligible new or repriceable invoices. Half is removed for overlap with improving reference mix. Fixed-price orders are excluded. Ninety percent incremental gross contribution less 10% support expense leaves an 80% operating contribution on a small price-only revenue increment. The cost of customer scrap supports a small value-based pricing allowance. Management reports sufficient internal capacity, so this is not an assumed company-wide shortage premium; the probability is reduced to35% after reading both calls.

A combined risk branch has 25% probability and removes 10% of AI/AP reference invoices from the recognition period. It captures acceptance delay, competitive losses and faster-tool substitution once. Lost revenue carries a 54% gross contribution offset by 10% expense relief. No automatic later-quarter recovery is assumed.

After those branches, active revenue is $751.783 million in 2027 and $951.330 million in 2028; operating profit is $233.496 million and $319.194 million. The later2029-30 forecasts have lower evidence confidence. Qualification wins, new steps and customer delivery schedules must justify changes to the inputs.



Camtek August2026 issuer materials; PDF page9 | New product configurations and NanoProf; qualification remains required.

Cash and the convertible-note trap

June liquidity was $815.837 million, including deposits and marketable securities. The balance sheet carried $488.497 million of convertible notes. That is consistent with the remaining $500 million face-value 2030 notes after unamortized issuance cost. The older 2026 note balance was no longer present in the March or June total; the January30 issuer notice confirms physical settlement for conversions of those old notes. Exact issuance dates remain a gap, but the June common count is already the later reported count. The model does not reuse the obsolete $532.933 million year-end combined principal.

The 2030 conversion rate is 9.1455 shares per $1,000 principal, or 4.57275 million shares for the whole $500 million. The approximate strike is $109.34. Camtek may settle in cash, ordinary shares or a combination. An internally consistent full-conversion case removes the principal claim and includes all conversion shares. It must not include those shares while also deducting the entire principal as if it were still repayable in cash.

The fully converted comparison starts with 51.55 million diluted shares and grows by 0.06 million quarterly. The conversion shares are embedded. The selected valuation schedule instead uses the lower internally matched financing case for each four-quarter window. A $200 million operating-liquidity reserve leaves $615.837 million of excess liquidity; no future cash generation is separately capitalized. Ordinary operating-lease occupancy remains expense. A separate $5.324 million finance-lease claim from the latest detailed annual note is retained, with a $4-7 million interim bound; the June interim statement does not separate it. No future debt repayment credit is added while holding cash fixed. The June common count of 46.668177 million is used only for a dated market-cap check, not as the diluted valuation denominator.

A matched cash-redemption alternative removes 4.57275 million conversion shares and retains the $500 million claim. At Q4 2027 it produces $126.89 versus $125.34 fully converted, so conversion is the more conservative active-horizon case. Earlier targets sit below the strike and the cash-redemption case is lower, so those valuation windows use its smaller share denominator and retain the principal claim. The full quarterly bound is saved. This selection is a valuation convention, not a prediction of an actual conversion date. Operating sensitivity holds the

selected financing schedule fixed; crossing the conversion threshold requires recalculating both financing cases. A settlement outcome is not guaranteed merely because the current market price exceeds the strike.

Receivables rose from $90.829 million at year-end to $153.921 million in June, and Q2 operating cash flow was only $12.2 million. A separate funding check therefore reserves 30% of positive incremental quarterly revenue for working capital, retains cash tax, includes capex rising from $30 million annually in 2027 to $44 million in 2030, and tests a $500 million maturity payment. All simple operating-branch combinations remain funded under these assumptions. This does not authorize an unmodeled acquisition or dividend.

Catalysts, competition and the return classification

Camtek competes with qualified inspection and metrology platforms, including Onto Innovation and KLA in relevant applications. Its customer relationships and application expertise matter, but they are not an exclusive claim to all HBM or chiplet spending. Trade restrictions, regional operating disruption, customer capital-budget changes and throughput-driven tool substitution are meaningful risks.

The October 14 investor breakfast shown in the call deck, H2 deliveries, 2027 Hawk/HBM acceptance and NanoProf/Visual Layer commercialization are the next useful checkpoints. Both latest management Q&A records, issuer results and original slides were reviewed. Product names follow the original slide: NanoProf, rather than the transcription label MicroProf.

The analytical score is 42/60, or 70. At a $152.81 quote, the $125.34 active-horizon ceiling gives no positive upside to split. Under the owner's exact Upside Driver rule, the displayed classification is unavailable. Camtek's business is a growth story, but that does not automatically make its current equity price attractive under the selected 20x method.

Additional call evidence and model reconciliation

The May12 Q&A described Eagle delivery around three months and Hawk around three to six, with manufacturing flexibility. Software upgrades to installed tools were a potential route to revenue; timing remained uncertain. Management also acknowledged local Chinese competition and component-cost pressure. These observations support qualified-product economics but weaken an assumption of a company-wide supply shortage. Q1 management Q&A.

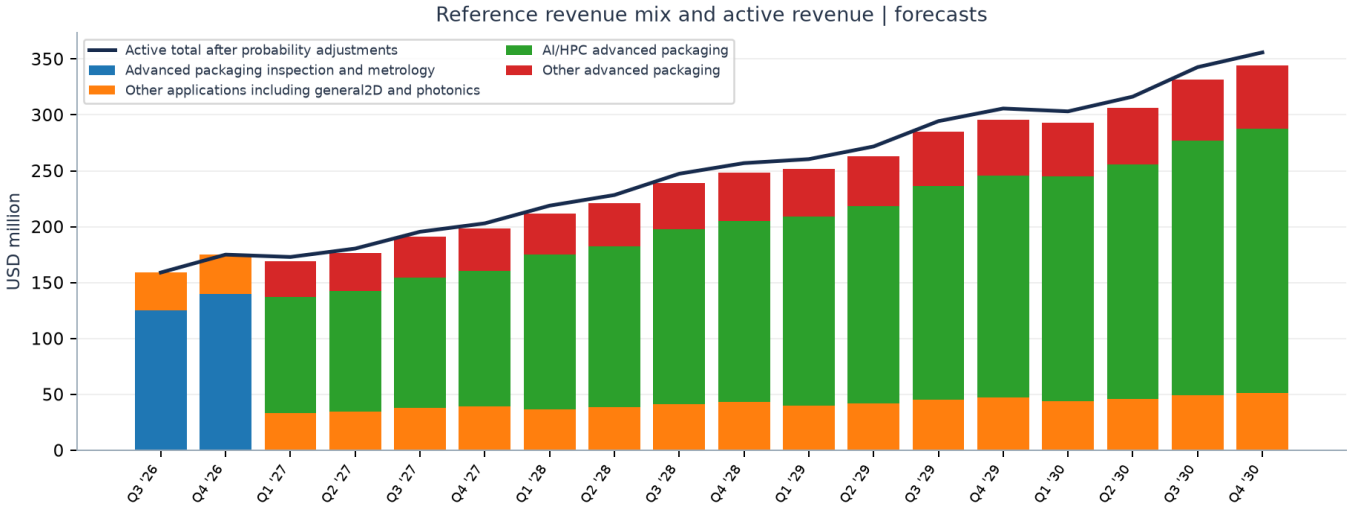
The August10 Q&A put photonics at about5% of orders, including both silicon photonics and compound semiconductors. Management expected non-GAAP year-end gross margin of53-55% and operating margin of30-32%; 2027 was not yet formal guidance. Q2 management Q&A.

The model therefore uses52.5% fully expensed Q4 gross margin against the54% non-GAAP midpoint, reserving1.5 percentage points for the accounting-cost difference. Q4 operating expense remains$42.5 million, producing$49.375 million operating profit. Adding back a comparison-only$6.2 million normal compensation/amortization bridge gives31.8% non-GAAP operating margin, within the indicated range; no addback enters valuation. The unusual$2.6 million Q2 transaction cost is not assumed to recur every quarter. FY2027 reference gross margin becomes53.28%, with fully expensed R&D and administration unchanged. The additional qualified-step and price branches remain separately bounded after overlap.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Qualified inspection recipes, high-resolution optical metrology and installed customer relationships; competitive rather than monopoly.
Cycle	8	Record orders, HBM4 transitions and OSAT capacity expansion support growth; orders require delivery and acceptance.
TAM	8	More inspection steps and new metrology applications, offset by faster tools and sampling trade-offs.
Catalysts	4	H2 acceptance, Hawk/HBM deliveries in2027, NanoProf and Visual Layer integration.
Macro	7	AI capital investment supportive, Israel operations and China/export restrictions remain risks.
Alpha	3	Reconciles AP and AI subsets, counts headline orders once, fully expenses R&D/SBC and matches convertible claims.
Risk classes	-5	Customers can defer acceptance, faster tools reduce tool counts, larger peers compete, margins and receivables need scrutiny.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

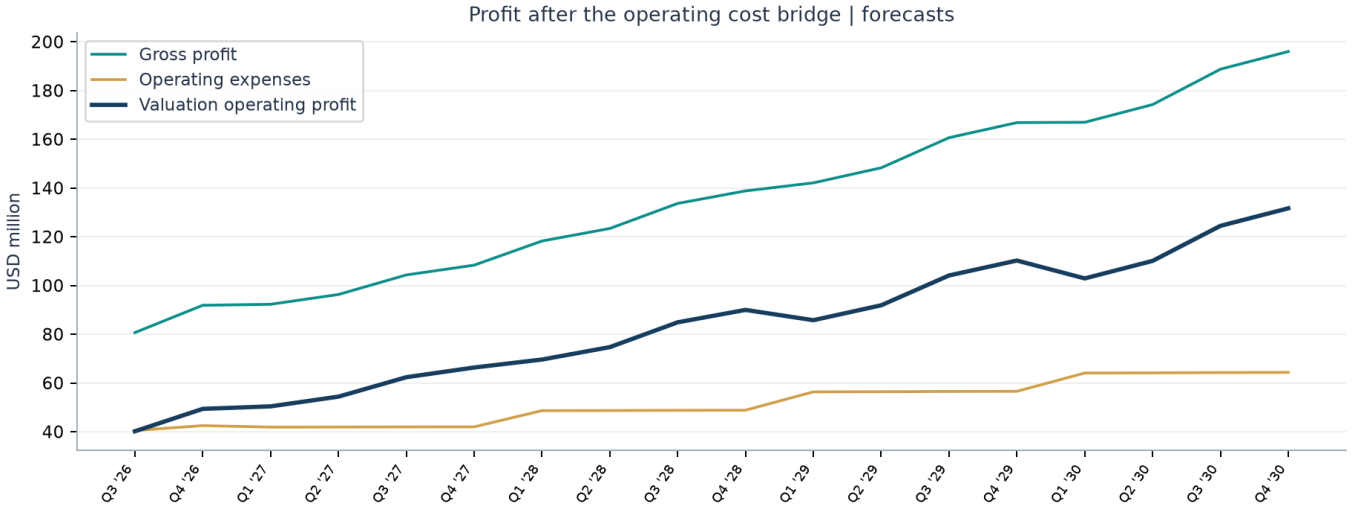
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	159.0	0.0	159.0
Q4 2026	175.0	0.0	175.0
Q1 2027	169.1	3.9	172.9
Q2 2027	176.4	4.0	180.4
Q3 2027	191.1	4.4	195.5
Q4 2027	198.5	4.5	203.0
Q1 2028	211.6	7.2	218.8
Q2 2028	220.8	7.5	228.3
Q3 2028	239.2	8.1	247.3
Q4 2028	248.4	8.5	256.9
Q1 2029	251.9	8.6	260.4
Q2 2029	262.8	8.9	271.7
Q3 2029	284.7	9.7	294.4
Q4 2029	295.7	10.1	305.7
Q1 2030	293.2	9.9	303.1
Q2 2030	306.0	10.3	316.3
Q3 2030	331.5	11.2	342.7
Q4 2030	344.3	11.6	355.9

Gross profit, operating expenses and earnings

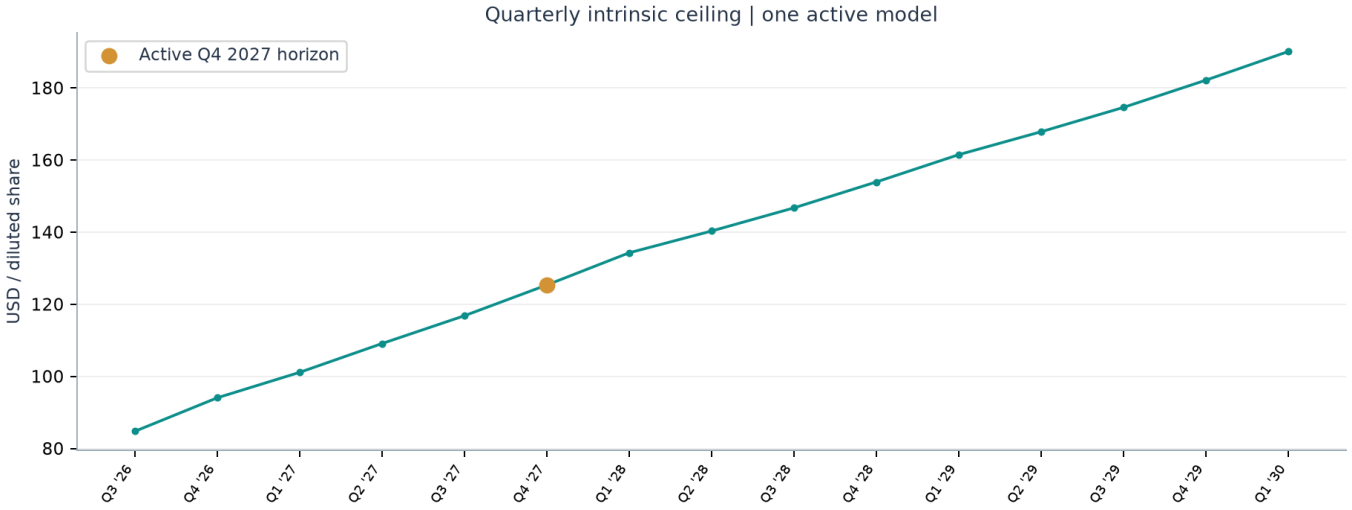


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Q3 management revenue midpoint, analytical costs	159.0	80.7	40.5	40.2	25.3%
Q4 2026 / H2 growth guidance consistent revenue allocation, analytical costs	175.0	91.9	42.5	49.4	28.2%
Q1 2027 / Analytical forecast; not company guidance	172.9	92.3	41.9	50.4	29.2%
Q2 2027 / Analytical forecast; not company guidance	180.4	96.3	41.9	54.4	30.1%
Q3 2027 / Analytical forecast; not company guidance	195.5	104.3	42.0	62.4	31.9%
Q4 2027 / Analytical forecast; not company guidance	203.0	108.3	42.0	66.3	32.7%
Q1 2028 / Analytical forecast; not company guidance	218.8	118.2	48.6	69.6	31.8%
Q2 2028 / Analytical forecast; not company guidance	228.3	123.4	48.7	74.7	32.7%
Q3 2028 / Analytical forecast; not company guidance	247.3	133.7	48.8	84.9	34.3%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q4 2028 / Analytical forecast; not company guidance	256.9	138.8	48.8	90.0	35.0%
Q1 2029 / Analytical forecast; not company guidance	260.4	142.1	56.4	85.8	32.9%
Q2 2029 / Analytical forecast; not company guidance	271.7	148.3	56.4	91.9	33.8%
Q3 2029 / Analytical forecast; not company guidance	294.4	160.7	56.5	104.1	35.4%
Q4 2029 / Analytical forecast; not company guidance	305.7	166.8	56.6	110.2	36.1%
Q1 2030 / Analytical forecast; not company guidance	303.1	167.0	64.1	102.9	33.9%
Q2 2030 / Analytical forecast; not company guidance	316.3	174.2	64.1	110.1	34.8%
Q3 2030 / Analytical forecast; not company guidance	342.7	188.7	64.3	124.5	36.3%
Q4 2030 / Analytical forecast; not company guidance	355.9	196.0	64.3	131.7	37.0%

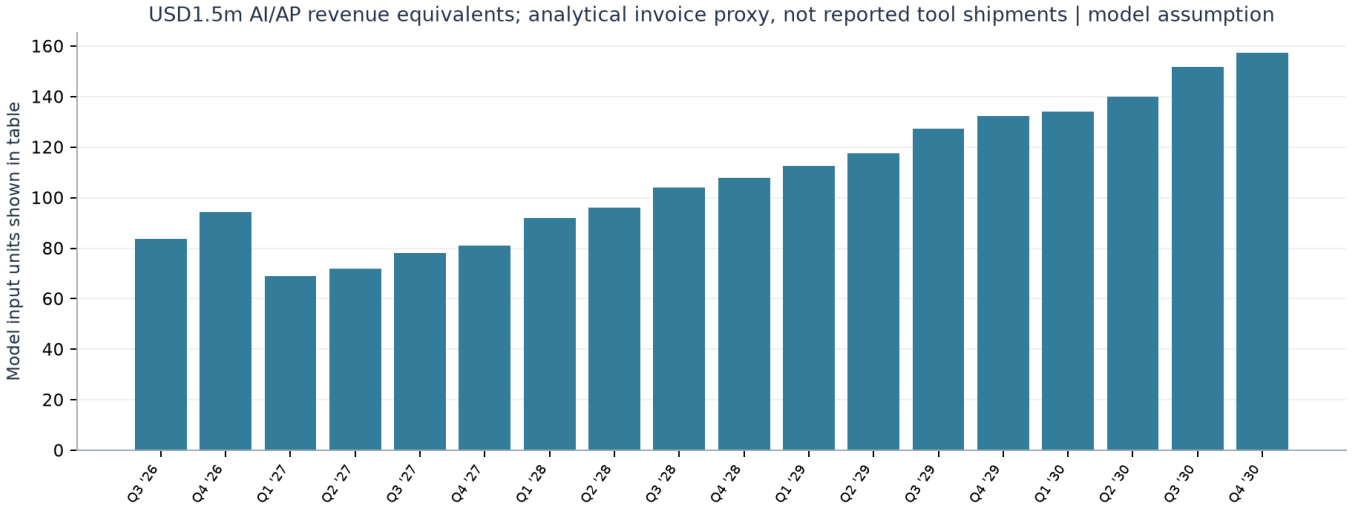
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	194.3	20x	47.157	84.76
Q4 2026	Q4 2026 to Q3 2027	216.5	20x	47.217	94.06
Q1 2027	Q1 2027 to Q4 2027	233.5	20x	47.277	101.11
Q2 2027	Q2 2027 to Q1 2028	252.7	20x	47.337	109.10
Q3 2027	Q3 2027 to Q2 2028	273.0	20x	51.970	116.82
Q4 2027	Q4 2027 to Q3 2028	295.6	20x	52.030	125.34
Q1 2028	Q1 2028 to Q4 2028	319.2	20x	52.090	134.28
Q2 2028	Q2 2028 to Q1 2029	335.3	20x	52.150	140.31
Q3 2028	Q3 2028 to Q2 2029	352.5	20x	52.210	146.73
Q4 2028	Q4 2028 to Q3 2029	371.7	20x	52.270	153.92
Q1 2029	Q1 2029 to Q4 2029	392.0	20x	52.330	161.49
Q2 2029	Q2 2029 to Q1 2030	409.1	20x	52.390	167.84
Q3 2029	Q3 2029 to Q2 2030	427.4	20x	52.450	174.60
Q4 2029	Q4 2029 to Q3 2030	447.7	20x	52.510	182.15
Q1 2030	Q1 2030 to Q4 2030	469.1	20x	52.570	190.09

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	USD1.5m AI/AP revenue equivalents; analytical invoice proxy, not reported tool shipments	Status
Q3 2026	83.667	Q3 management revenue midpoint, analytical costs
Q4 2026	94.333	H2 growth guidance consistent revenue allocation, analytical costs
Q1 2027	69.000	Analytical forecast; not company guidance
Q2 2027	72.000	Analytical forecast; not company guidance
Q3 2027	78.000	Analytical forecast; not company guidance
Q4 2027	81.000	Analytical forecast; not company guidance
Q1 2028	92.000	Analytical forecast; not company guidance
Q2 2028	96.000	Analytical forecast; not company guidance
Q3 2028	104.000	Analytical forecast; not company guidance
Q4 2028	108.000	Analytical forecast; not company guidance
Q1 2029	112.700	Analytical forecast; not company guidance
Q2 2029	117.600	Analytical forecast; not company guidance
Q3 2029	127.400	Analytical forecast; not company guidance
Q4 2029	132.300	Analytical forecast; not company guidance
Q1 2030	134.167	Analytical forecast; not company guidance
Q2 2030	140.000	Analytical forecast; not company guidance
Q3 2030	151.667	Analytical forecast; not company guidance
Q4 2030	157.500	Analytical forecast; not company guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Advanced packaging inspection and metrology	125.5	52.0%	65.3
Q3 2026	Other applications including general2D and photonics	33.5	46.0%	15.4
Q4 2026	Advanced packaging inspection and metrology	140.0	53.9%	75.4
Q4 2026	Other applications including general2D and photonics	35.0	47.0%	16.4
Q1 2027	AI/HPC advanced packaging	103.5	56.0%	58.0
Q1 2027	Other advanced packaging	32.2	51.0%	16.4
Q1 2027	Other applications including general2D and photonics	33.4	47.0%	15.7
Q2 2027	AI/HPC advanced packaging	108.0	56.0%	60.5
Q2 2027	Other advanced packaging	33.6	51.0%	17.1
Q2 2027	Other applications including general2D and photonics	34.8	47.0%	16.4
Q3 2027	AI/HPC advanced packaging	117.0	56.0%	65.5
Q3 2027	Other advanced packaging	36.4	51.0%	18.6
Q3 2027	Other applications including general2D and photonics	37.7	47.0%	17.7
Q4 2027	AI/HPC advanced packaging	121.5	56.0%	68.0
Q4 2027	Other advanced packaging	37.8	51.0%	19.3
Q4 2027	Other applications including general2D and photonics	39.2	47.0%	18.4
Q1 2028	AI/HPC advanced packaging	138.0	56.5%	78.0
Q1 2028	Other advanced packaging	36.8	51.3%	18.9
Q1 2028	Other applications including general2D and photonics	36.8	47.0%	17.3
Q2 2028	AI/HPC advanced packaging	144.0	56.5%	81.4
Q2 2028	Other advanced packaging	38.4	51.3%	19.7
Q2 2028	Other applications including general2D and photonics	38.4	47.0%	18.0
Q3 2028	AI/HPC advanced packaging	156.0	56.5%	88.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2028	Other advanced packaging	41.6	51.3%	21.3
Q3 2028	Other applications including general2D and photonics	41.6	47.0%	19.6
Q4 2028	AI/HPC advanced packaging	162.0	56.5%	91.5
Q4 2028	Other advanced packaging	43.2	51.3%	22.2
Q4 2028	Other applications including general2D and photonics	43.2	47.0%	20.3
Q1 2029	AI/HPC advanced packaging	169.1	57.0%	96.4
Q1 2029	Other advanced packaging	42.6	51.6%	22.0
Q1 2029	Other applications including general2D and photonics	40.2	47.0%	18.9
Q2 2029	AI/HPC advanced packaging	176.4	57.0%	100.5
Q2 2029	Other advanced packaging	44.4	51.6%	22.9
Q2 2029	Other applications including general2D and photonics	42.0	47.0%	19.7
Q3 2029	AI/HPC advanced packaging	191.1	57.0%	108.9
Q3 2029	Other advanced packaging	48.1	51.6%	24.8
Q3 2029	Other applications including general2D and photonics	45.5	47.0%	21.4
Q4 2029	AI/HPC advanced packaging	198.5	57.0%	113.1
Q4 2029	Other advanced packaging	50.0	51.6%	25.8
Q4 2029	Other applications including general2D and photonics	47.2	47.0%	22.2
Q1 2030	AI/HPC advanced packaging	201.2	57.5%	115.7
Q1 2030	Other advanced packaging	48.3	51.9%	25.1
Q1 2030	Other applications including general2D and photonics	43.7	47.0%	20.5
Q2 2030	AI/HPC advanced packaging	210.0	57.5%	120.8
Q2 2030	Other advanced packaging	50.4	51.9%	26.2
Q2 2030	Other applications including general2D and photonics	45.6	47.0%	21.4
Q3 2030	AI/HPC advanced packaging	227.5	57.5%	130.8
Q3 2030	Other advanced packaging	54.6	51.9%	28.3
Q3 2030	Other applications including general2D and photonics	49.4	47.0%	23.2
Q4 2030	AI/HPC advanced packaging	236.3	57.5%	135.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2030	Other advanced packaging	56.7	51.9%	29.4
Q4 2030	Other applications including general2D and photonics	51.3	47.0%	24.1

Operating-cost derivation

Quarter	Fully expensed research and development	Selling administration amortization and integration	Selling administration and acquired-intangible amortization
Q3 2026	18.0	22.5	0.0
Q4 2026	19.0	23.5	0.0
Q1 2027	19.0	0.0	22.3
Q2 2027	19.0	0.0	22.3
Q3 2027	19.0	0.0	22.3
Q4 2027	19.0	0.0	22.3
Q1 2028	21.9	0.0	25.7
Q2 2028	21.9	0.0	25.7
Q3 2028	21.9	0.0	25.7
Q4 2028	21.9	0.0	25.7
Q1 2029	25.3	0.0	29.7
Q2 2029	25.3	0.0	29.7
Q3 2029	25.3	0.0	29.7
Q4 2029	25.3	0.0	29.7
Q1 2030	28.8	0.0	33.8
Q2 2030	28.8	0.0	33.8
Q3 2030	28.8	0.0	33.8
Q4 2030	28.8	0.0	33.8

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	ADDITIONAL QUALIFIED STEPS	45%	0.0	0.0	0.0	0.0
Q3 2026	NEW ORDER PRICING	35%	0.0	0.0	0.0	0.0
Q3 2026	ACCEPTANCE COMPETITION RISK	25%	0.0	0.0	0.0	0.0
Q4 2026	ADDITIONAL QUALIFIED STEPS	45%	0.0	0.0	0.0	0.0
Q4 2026	NEW ORDER PRICING	35%	0.0	0.0	0.0	0.0
Q4 2026	ACCEPTANCE COMPETITION RISK	25%	0.0	0.0	0.0	0.0
Q1 2027	ADDITIONAL QUALIFIED STEPS	45%	13.8	7.6	1.9	2.5
Q1 2027	NEW ORDER PRICING	35%	0.7	0.6	0.1	0.2
Q1 2027	ACCEPTANCE COMPETITION RISK	25%	-10.3	-5.6	-1.0	-1.1
Q2 2027	ADDITIONAL QUALIFIED STEPS	45%	14.4	7.9	2.0	2.7
Q2 2027	NEW ORDER PRICING	35%	0.7	0.6	0.1	0.2
Q2 2027	ACCEPTANCE COMPETITION RISK	25%	-10.8	-5.8	-1.1	-1.2
Q3 2027	ADDITIONAL QUALIFIED STEPS	45%	15.6	8.6	2.2	2.9
Q3 2027	NEW ORDER PRICING	35%	0.8	0.7	0.1	0.2
Q3 2027	ACCEPTANCE COMPETITION RISK	25%	-11.7	-6.3	-1.2	-1.3
Q4 2027	ADDITIONAL QUALIFIED STEPS	45%	16.2	8.9	2.3	3.0
Q4 2027	NEW ORDER PRICING	35%	0.8	0.7	0.1	0.2
Q4 2027	ACCEPTANCE COMPETITION RISK	25%	-12.2	-6.6	-1.2	-1.3
Q1 2028	ADDITIONAL QUALIFIED STEPS	45%	23.0	12.7	3.2	4.2
Q1 2028	NEW ORDER PRICING	35%	0.9	0.8	0.1	0.2
Q1 2028	ACCEPTANCE COMPETITION RISK	25%	-13.8	-7.5	-1.4	-1.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	ADDITIONAL QUALIFIED STEPS	45%	24.0	13.2	3.4	4.4
Q2 2028	NEW ORDER PRICING	35%	0.9	0.8	0.1	0.3
Q2 2028	ACCEPTANCE COMPETITION RISK	25%	-14.4	-7.8	-1.4	-1.6
Q3 2028	ADDITIONAL QUALIFIED STEPS	45%	26.0	14.3	3.6	4.8
Q3 2028	NEW ORDER PRICING	35%	1.0	0.9	0.1	0.3
Q3 2028	ACCEPTANCE COMPETITION RISK	25%	-15.6	-8.4	-1.6	-1.7
Q4 2028	ADDITIONAL QUALIFIED STEPS	45%	27.0	14.9	3.8	5.0
Q4 2028	NEW ORDER PRICING	35%	1.0	0.9	0.1	0.3
Q4 2028	ACCEPTANCE COMPETITION RISK	25%	-16.2	-8.7	-1.6	-1.8
Q1 2029	ADDITIONAL QUALIFIED STEPS	45%	27.6	15.2	3.9	5.1
Q1 2029	NEW ORDER PRICING	35%	1.1	1.0	0.1	0.3
Q1 2029	ACCEPTANCE COMPETITION RISK	25%	-16.9	-9.1	-1.7	-1.9
Q2 2029	ADDITIONAL QUALIFIED STEPS	45%	28.8	15.8	4.0	5.3
Q2 2029	NEW ORDER PRICING	35%	1.1	1.0	0.1	0.3
Q2 2029	ACCEPTANCE COMPETITION RISK	25%	-17.6	-9.5	-1.8	-1.9
Q3 2029	ADDITIONAL QUALIFIED STEPS	45%	31.2	17.2	4.4	5.8
Q3 2029	NEW ORDER PRICING	35%	1.2	1.1	0.1	0.3
Q3 2029	ACCEPTANCE COMPETITION RISK	25%	-19.1	-10.3	-1.9	-2.1
Q4 2029	ADDITIONAL QUALIFIED STEPS	45%	32.4	17.8	4.5	6.0
Q4 2029	NEW ORDER PRICING	35%	1.2	1.1	0.1	0.3
Q4 2029	ACCEPTANCE COMPETITION RISK	25%	-19.8	-10.7	-2.0	-2.2
Q1 2030	ADDITIONAL QUALIFIED STEPS	45%	32.2	17.7	4.5	5.9
Q1 2030	NEW ORDER PRICING	35%	1.2	1.1	0.1	0.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	ACCEPTANCE COMPETITION RISK	25%	-20.1	-10.9	-2.0	-2.2
Q2 2030	ADDITIONAL QUALIFIED STEPS	45%	33.6	18.5	4.7	6.2
Q2 2030	NEW ORDER PRICING	35%	1.3	1.2	0.1	0.4
Q2 2030	ACCEPTANCE COMPETITION RISK	25%	-21.0	-11.3	-2.1	-2.3
Q3 2030	ADDITIONAL QUALIFIED STEPS	45%	36.4	20.0	5.1	6.7
Q3 2030	NEW ORDER PRICING	35%	1.4	1.3	0.1	0.4
Q3 2030	ACCEPTANCE COMPETITION RISK	25%	-22.8	-12.3	-2.3	-2.5
Q4 2030	ADDITIONAL QUALIFIED STEPS	45%	37.8	20.8	5.3	7.0
Q4 2030	NEW ORDER PRICING	35%	1.5	1.3	0.1	0.4
Q4 2030	ACCEPTANCE COMPETITION RISK	25%	-23.6	-12.8	-2.4	-2.6

Enterprise-to-equity reconciliation

20x fully expensed F4Q operating profit, selecting the lower matched cash-redemption or fully converted2030note equity case separately for each valuation window

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-110.5	0.0	-110.5	84.76
Q4 2026	Q3 2027	-110.5	0.0	-110.5	94.06
Q1 2027	Q4 2027	-110.5	0.0	-110.5	101.11
Q2 2027	Q1 2028	-110.5	0.0	-110.5	109.10
Q3 2027	Q2 2028	-610.5	0.0	-610.5	116.82
Q4 2027	Q3 2028	-610.5	0.0	-610.5	125.34
Q1 2028	Q4 2028	-610.5	0.0	-610.5	134.28
Q2 2028	Q1 2029	-610.5	0.0	-610.5	140.31
Q3 2028	Q2 2029	-610.5	0.0	-610.5	146.73
Q4 2028	Q3 2029	-610.5	0.0	-610.5	153.92
Q1 2029	Q4 2029	-610.5	0.0	-610.5	161.49
Q2 2029	Q1 2030	-610.5	0.0	-610.5	167.84
Q3 2029	Q2 2030	-610.5	0.0	-610.5	174.60
Q4 2029	Q3 2030	-610.5	0.0	-610.5	182.15
Q1 2030	Q4 2030	-610.5	0.0	-610.5	190.09

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

ADDITIONAL_QUALIFIED_STEPS

probability: 0.45

Conditional: Net revenue60/100/120/140m in2027/28/29/30 from additional accepted metrology/inspection steps and tool configurations beyond reference.

bounds: Gross opportunity120/200/240/280m with50%overlap removal; probability25-65%. Not all orders are incremental.

overlap: Reference already absorbs known orders,75%AP mix and most expansion.50%of separately bounded application opportunity removed; no separate addition of the$105mheadline order.

bridge: 55%incremental GP less14%incremental R&D,application support and selling expense=41%incremental OP.

source: August10call slides: newNanoProf,backside inspection,fluorescence,hybrid bonding and increased inspection requirements.

NEW_ORDER_PRICING

probability: 0.35

Conditional: 5%premium on20%of new/repriceable AP invoices, with50%overlap haircut.

bounds: 0-8% price premium, 10-30% eligible share; adopted probability35%, sensitivity20-50%.

overlap: Fixed-price orders excluded and half removed for reference mix improvement.

bridge: 90%incremental GP less10%selling/support=80%OP on the small price-only revenue increment.

source: Customer cost of failure supports value capture; both latest calls say Camtek has enough supply capacity, and reference already includes richer product mix. This reduces the incremental pricing probability from the preliminary50%.

ACCEPTANCE_COMPETITION_RISK

probability: 0.25

Conditional: 10%of AI/AP reference revenue not recognized within modeled period.

bounds: 5-15%affected invoices; probability15-40%.

overlap: One combined risk for acceptance,tool throughput substitution and competition. No separate duplicate capex-shortage effect.

bridge: 54%lost GP with10%opex relief,44%negative OP contribution; no automatic recovery credited.

source: Faster Hawk/G5 tools, competing inspection platforms,customer capex and qualification dependency.

Remaining bounded uncertainties

- No public invoice-level ASP, tool counts, product gross margins or backlog acceptance calendar; revenue-equivalent unit proxy is explicitly analytical.

- Issuer sources contain minor arithmetic/typographical inconsistencies:March common share line versus issued minus treasury;2025OP128.203/128.303 across releases. Use June common46.668177 andQ2latest2025OP128.203.

- 2027$2B TAM is management estimate, not booked company sales.

- Issuer settlement choice is unknown. Each window selects the lower internally matched full-conversion/cash-redemption result; no debt/share double deduction.

- Jan30,2026 physical-settlement election for old2026notes is verified. Exact subsequent issuance dates not retrieved; June common count already includes settled shares. Do not add stale2026principal or conversion shares again.

- Finance lease claim uses last detailed December2025 liability of5.324m, bounded4-7m. June interim does not split leases; no future finance-lease repayment or cash growth credit in fixed financial claims.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2 2026 financial results | 2026-08-10 | https://cdn.camtek.com/wp-content/uploads/Q22026.pdf | Archived SHA-256: 95a7cd1235b39d211a488bdc26081b544cd8a6b8ecbc70e7f510d3839d7e2625

[2] Q1 2026 financial results | 2026-05-12 | https://cdn.camtek.com/wp-content/uploads/Q12026.pdf | Archived SHA-256: d83e40cf129392aa9f6b9e4d994fe44631f4587f2d27bf6a05e7d33fce2f47cd

[3] August2026 issuer presentation | 2026-08 | https://cdn.camtek.com/wp-content/uploads/IR-Presentation_Aug26.pdf | Archived SHA-256: 2af7f688dce08eecd07422c694e15dd7d3b45238a5c5eccd3442027195cccf75

[4] Q2 2026 management call slides | 2026-08-10 | https://cdn.camtek.com/wp-content/uploads/Script-presentation-Q2-2026.pdf | Archived SHA-256: f3ea2a3933cf2e48f44ceb0ac285b61efbf317443aaf8fd4e36444c6eb6e7f18

[5] Annual20F note12 and conversion terms | 2026-03-19 | https://www.sec.gov/Archives/edgar/data/1109138/000117891326001561/zk2634678.htm

[6] Q2 August10 management Q&A; reproduced by Quartr | 2026-08-10 | https://stockanalysis.com/stocks/camt/transcripts/666696-q2-2026/

[7] Q1 May12 management Q&A; reproduced by ROIC | 2026-05-12 | https://www.roic.ai/quote/CAMT:IT/transcripts/2026-year/1-quarter

[8] Irrevocable physical settlement election for2026notes | 2026-01-30 | https://cdn.camtek.com/wp-content/uploads/Camtek_-_Irrevocable_Settlement_Method_Election_Notice.docx.pdf